

coverage. The law says the employer can charge you 102% of the cost. (If your employer pays \$350 a month to cover you, you'll pay \$357 a month, plus whatever share of the premium you were paying beforehand.) Still, this may be less expensive than the rate you would pay for a policy of your own with the same type of coverage. After you've signed up for COBRA, you may want to switch to a lower-cost offering from your old company. You can do this during its open enrollment season.

More important, it means there's no lapse in your coverage. So even if you intend to shop around for a cheaper plan, taking advantage of COBRA for a month or two is a good idea while you make the transition. And even if you worked for a smaller company, you still might be eligible for continued coverage under state law. Check with your employee benefits office for details, or take a look at the Labor Department's list of frequently asked COBRA questions (www.dol.gov/ebsa/faqs/faq_consumer_cobra.html).

Another managed care plan, a **point-of-service (POS) plan**, is usually described as a hybrid between an HMO and a PPO. (I know. This is kind of absurd, but bear with me.) With point-of-service plans, you have plenty of options. You can save money by staying within your network and going through your primary care physician when you need special treatment; as with an HMO, you will pay a flat fee of \$15 or \$20. Or you can go outside the network and pay 30% or 35% coinsurance (up to a preset ceiling of about \$2,000), as with a PPO. Either way, like PPO plans, about half of all POS plans require you to pay a deductible (usually \$500 or \$750), before they start to pay your medical costs.

While most companies have some sort of managed care plan, a few employers offer an old-fashioned type of insurance once known as an **indemnity plan** but now more frequently called a **conventional plan**. (Most of your parents or grandparents had this type of health coverage.) Under an indemnity plan, there's no network and you're free to go to any doctor or specialist you choose. That freedom may be welcome, but it's also made these plans so expensive that over the past two decades they've become a rarity. Only about 10% of all companies now even offer this type of coverage.